

Candlesticks & Market Terminology

Every major candlestick type and a complete glossary of essential trading terms.

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The language of trading is built on candlestick patterns and market terminology. Knowing what each pattern signals and what every term means is the foundation of understanding price action and communicating clearly about the market.

MAJOR CANDLESTICK PATTERNS

PATTERN	SIGNAL	KEY FEATURE	TRADE IMPLICATION
Hammer	Bullish reversal	Long lower wick, small top body	Long entry at support on confirmation
Shooting Star	Bearish reversal	Long upper wick, small bottom body	Short entry at resistance on confirmation
Doji	Indecision	Open ≈ close, small or no body	Wait for next candle direction before acting
Bullish Engulfing	Bullish reversal	Green body engulfs prior red body	Strong buy signal at support
Bearish Engulfing	Bearish reversal	Red body engulfs prior green body	Strong sell signal at resistance
Marubozu (green)	Strong bullish	Large green body, no wicks	Momentum continuation expected
Marubozu (red)	Strong bearish	Large red body, no wicks	Momentum continuation to downside
Morning Star	Bullish reversal	3-candle: red, small doji, green	High-confidence bottom reversal signal
Evening Star	Bearish reversal	3-candle: green, small doji, red	High-confidence top reversal signal

ESSENTIAL MARKET TERMINOLOGY — A TO Z

TERM	DEFINITION
Ask	The lowest price a seller will accept for shares
Bid	The highest price a buyer will pay for shares
Catalyst	A news event or announcement that drives price movement
Circuit breaker	Trading halt triggered when a stock drops a certain percentage in a short time
Float	Number of shares available for public trading — low float stocks are more volatile
Gap	When a stock opens significantly above or below its prior close
Level 2	Real-time view of all bids and asks in the order book
Margin	Borrowed money from your broker to trade with — increases both gains and losses
PDT Rule	Pattern Day Trader rule: requires \$25,000 minimum to make 4+ day trades per week in a margin account
RVOL	Relative volume — how much volume today vs the daily average
Short interest	Percentage of shares sold short — high short interest means squeeze potential
Short squeeze	When a heavily shorted stock rises, forcing short sellers to buy back shares and accelerating the move up
Spread	Difference between the bid and ask price
Tape	Real-time stream of every transaction — used to read buying and selling pressure
VWAP	Volume Weighted Average Price — the average price weighted by volume, resets daily

TST RULE

You do not need to memorize every candlestick pattern. Master the hammer, shooting star, doji, and engulfing patterns. Those four cover the vast majority of high-quality reversal signals you will ever see.

Full candlestick and chart reading curriculum in the TST Academy Beginner section at topstocktrading.com